

STATE OF OKLAHOMA

1st Session of the 60th Legislature (2025)

HOUSE BILL 2147

By: Kannady

AS INTRODUCED

An Act relating to cities and towns; enacting the Municipal Code Lien Enforcement Act of 2025; defining terms; providing applicability to all municipalities; providing that the provisions do not apply to owner-occupied property; providing that any fees, penalties, and abatement costs imposed against property for violations of a municipality's housing and building codes may be enforced in rem as a lien; providing that municipalities may proceed with judicial in rem foreclosures of municipal code liens by an enactment of an ordinance or resolution of the governing authority of the municipality in which the real property is located; providing requirements for a municipal ordinance or resolution authorizing liens and foreclosures pursuant to this act; providing this act does not constitute an action for personal liability for the municipal code liens against the owner or owners of the real property; providing that the rights and remedies set forth in this act are available solely to the governmental entities authorized by law to enforce municipal ordinances; providing that a municipality that seeks to enforce a municipal code lien through the sale of real property shall utilize the judicial in rem proceedings of this act as the sole remedy; providing that enforcement proceedings may be initiated only by the municipality; providing timeframe for filing a petition for judicial in rem foreclosure for a municipal code lien; providing requirements for filing a petition for judicial in rem foreclosure when the property is subject to unpaid taxes; providing notice requirements needed prior to a judicial in rem foreclosure; providing for codification; and providing an effective date.

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3 BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

4 SECTION 1. NEW LAW A new section of law to be codified
5 in the Oklahoma Statutes as Section 22-140 of Title 11, unless there
6 is created a duplication in numbering, reads as follows:

7 This act shall be known and may be cited as the "Municipal Code
8 Lien Enforcement Act of 2025".

9 SECTION 2. NEW LAW A new section of law to be codified
10 in the Oklahoma Statutes as Section 22-140.1 of Title 11, unless
11 there is created a duplication in numbering, reads as follows:

12 As used in this act:

13 1. "Code enforcement director" means an employee of a
14 municipality who is tasked by the municipal governing body with the
15 enforcement of state law or local ordinances related to the
16 condition of real property within the jurisdiction of the
17 municipality;

18 2. "Interested party" means:

- 19 a. the person who last appears as owner of the real
20 property in the county records,
21 b. the current mortgagee of record of the property or
22 assignee of record of the mortgagee,
23 c. the current holder of a beneficial interest in a deed
24 of trust recorded against the real property,

- 1 d. a tax certificate holder, or
- 2 e. any party having an interest in the real property, or
- 3 in any part thereof, legal or equitable, in severalty
- 4 or as tenant in common, whose identity and address are
- 5 reasonably ascertainable from the records of the
- 6 municipality or records maintained in the county
- 7 records or as revealed by a full title search,
- 8 consisting of fifty (50) years or more.

9 An interested party shall not include the holder of the benefit

10 of an easement which burdens the real property, the holder of the

11 benefit or burden of a real covenant which burdens the real

12 property, or the holder of the benefit of a utility easement which

13 burdens the real property;

14 3. "Minimum bid price" means the price that equals the

15 redemption amount;

16 4. "Municipal code lien" means any lien that has been levied

17 against real property by a municipality that is the result of the

18 nonpayment of any fine, penalty, abatement cost, or enforcement cost

19 incurred by a municipality related to the enforcement of state or

20 local housing and building codes. Such lien shall include only

21 those liens which arise out of a failure to comply with any law of

22 the State of Oklahoma, or from the failure to comply with a

23 municipality's ordinances or resolutions.

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1 A municipal code lien shall not include any lien that has
2 previously been certified to the tax collector of the county for
3 inclusion on the property tax bill associated with the real
4 property;

5 5. "Municipal code lien payoff" means the principal amount of a
6 municipal code lien, interest accrued at the rate of seven and one-
7 half percent (7.5%) per annum from the date the municipal code lien
8 was filed in the office of the county clerk, any fees or costs
9 incurred in the collection of such a lien under this act including,
10 without limitations, the cost of title examinations and publication
11 of notices, and any other penalties allowable under either the laws
12 of the State of Oklahoma or under an ordinance or resolution enacted
13 by the municipality;

14 6. "Owner-occupied" means real property that is lawfully
15 occupied as a principal residence that is any of the following:

- 16 a. a homestead as described in Section 2888 of Title 68
- 17 of the Oklahoma Statutes,
- 18 b. exempt from ad valorem taxation under Sections 2904
- 19 through 2911 of Title 68 of the Oklahoma Statutes, and
- 20 c. eligible for the designations listed in subparagraph a
- 21 or b or this paragraph, but which has not yet been
- 22 granted such designation and which is lawfully
- 23 occupied by the family of a deceased individual;

24 7. "Redemption amount" means the sum of:

1 a. the full amount of the municipal code lien payoff for
2 each municipal code lien on which the municipality is
3 seeking to foreclose under this act, and

4 b. any tax payoff that may be applicable to the property
5 on which the municipality is seeking to foreclose
6 under this act;

7 8. "Taxes" means those taxes assessed against real property by
8 either the State of Oklahoma, the county in which the real property
9 is situated, or the municipality that are delinquent as of the date
10 a proceeding under this act is commenced or at any time before final
11 resolution of the same, and shall also include any taxes assessed
12 against real property that are unpaid from any previous year and any
13 amounts required for redemption. As provided in Section 3103 of
14 Title 68 of the Oklahoma Statutes, a lien for taxes shall be
15 superior to all other liens, including municipal code liens;

16 9. "Tax certificate holder" means any of the following:

17 a. a tax sale purchaser who holds a certificate of
18 purchase,

19 b. the state, where it has accepted and recorded a
20 certificate of purchase obtained at a tax sale,

21 c. any party to which a certificate of purchase obtained
22 at a tax sale has been assigned, or

23 d. the purchaser or assignee of a tax lien certificate;
24 and

1 10. "Tax payoff" means all amounts necessary to satisfy any
2 claims for delinquent taxes assessed against the real property on
3 which the municipality is seeking foreclosure under this act. Those
4 amounts shall include:

- 5 a. if the taxes associated with the property are
6 delinquent, but the property has not yet been sold for
7 taxes, the full amount of delinquent taxes, costs,
8 fees, and charges due to the county tax collector,
- 9 b. if the property has been sold for taxes to either the
10 state or to a party other than the state, those
11 amounts required for redemption, except for when a
12 municipality is the prevailing bidder, the tax payoff
13 amount shall be the lesser of these amounts, and
- 14 c. if a tax lien has been sold by a county, the amount
15 required for redemption.

16 SECTION 3. NEW LAW A new section of law to be codified
17 in the Oklahoma Statutes as Section 22-140.2 of Title 11, unless
18 there is created a duplication in numbering, reads as follows:

19 A. The provisions of this act shall apply to any municipal
20 governing body that adopts the provisions of this act, and are
21 applicable to the collection of municipal code liens as to real
22 property, other than owner-occupied property, in the municipality.

23 B. The provisions of this act shall not apply to owner-occupied
24 property.

1 SECTION 4. NEW LAW A new section of law to be codified
2 in the Oklahoma Statutes as Section 22-140.3 of Title 11, unless
3 there is created a duplication in numbering, reads as follows:

4 Notwithstanding any law to the contrary, any fees, penalties,
5 and abatement costs imposed against property other than owner-
6 occupied real property for violations of a municipality's housing
7 and building codes adopted pursuant to the statutes of the State of
8 Oklahoma may be enforced in rem as a lien in accordance with this
9 act.

10 Every municipal code lien, as defined in this act, shall be
11 superior to all other liens, except those liens for taxes described
12 or referenced in Section 3103 of Title 68 of the Oklahoma Statutes.

13 SECTION 5. NEW LAW A new section of law to be codified
14 in the Oklahoma Statutes as Section 22-140.4 of Title 11, unless
15 there is created a duplication in numbering, reads as follows:

16 A. Any municipality to which this act applies may proceed with
17 judicial in rem foreclosures of municipal code liens in accordance
18 with the provisions of this act by enactment of an ordinance or
19 resolution of the governing authority of the municipality in which
20 the real property is located, which ordinance or resolution shall be
21 sufficient authority for use of this act by the municipality to
22 enforce its municipal code liens.

1 B. The ordinance or resolution of a municipality authorizing
2 and approving the use of this act shall include all of the
3 following:

4 1. The initial effective date for application of these
5 procedures;

6 2. The explicit exclusion of owner-occupied properties from the
7 application of the judicial in rem foreclosure procedures authorized
8 in this act;

9 3. The nature and extent of notices, support services, and
10 referrals to be provided to the owners and occupants of owner-
11 occupied properties; and

12 4. Any other matters the municipality specifies to be addressed
13 through administrative regulations and policies.

14 C. Proceedings in accordance with this act are to solely
15 enforce the municipal code lien for real property subject to the
16 municipal code lien and shall not constitute an action for personal
17 liability for the municipal code liens against the owner or owners
18 of the real property.

19 D. The rights and remedies set forth in this act are available
20 solely to the governmental entities authorized by law to enforce
21 municipal ordinances and shall not extend to any nongovernmental
22 transferee of municipal code liens.

23 E. A municipality that has adopted the provisions of this act
24 and that seeks to enforce a municipal code lien through the sale of

1 real property shall utilize the judicial in rem proceedings of this
2 act as the sole remedy for the enforcement through the sale of real
3 property.

4 F. The enforcement proceedings authorized by this act may be
5 initiated only by the municipality.

6 SECTION 6. NEW LAW A new section of law to be codified
7 in the Oklahoma Statutes as Section 22-140.5 of Title 11, unless
8 there is created a duplication in numbering, reads as follows:

9 A. After a municipal code lien has been recorded with the
10 office of the county clerk of the county in which the real property
11 is located, the code enforcement director may identify those
12 properties on which to commence a judicial in rem foreclosure in
13 accordance with this act, except that those properties the code
14 enforcement director identifies as owner-occupied shall not be
15 subject to judicial in rem foreclosure under this act. The code
16 enforcement director shall not file a petition for judicial in rem
17 foreclosure in accordance with this act for a period of six (6)
18 months following the date upon which the municipal code lien is
19 recorded in the office of the county clerk. A petition for judicial
20 in rem foreclosure may include any other municipal code lien that
21 has been filed prior to the date the petition is filed. After
22 enforcement proceedings have commenced in accordance with this act,
23 the enforcement proceedings may be amended to include any
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1 subsequently arising municipal code liens and, if applicable, any
2 and all taxes as defined in this act.

3 B. If the property on which the municipality is seeking to
4 foreclose under this act is subject to taxes as defined in this act,
5 then, at least sixty (60) days prior to the filing of the petition,
6 the code enforcement director shall notify all other taxing agencies
7 within the jurisdiction of the municipality and the State of
8 Oklahoma of the code enforcement director's intention to file a
9 petition for judicial in rem foreclosure of the real property on
10 which a municipal code lien exists.

11 C. In the name of the municipality, the code enforcement
12 director shall, in the appropriate lis pendens record in the office
13 of the county clerk of the county in which the real property is
14 located, file a notice of his or her intent to file a judicial in
15 rem foreclosure action. The notice shall include a legal
16 description of the property, street address of the property if
17 available, a statement that the property is subject to judicial in
18 rem foreclosure proceedings under this act, and a statement that
19 those proceedings may extinguish any legal interests in the
20 property.

21 D. Simultaneous with the filing of his or her notice of intent
22 to file a judicial in rem foreclosure action, the code enforcement
23 director, in the name of the municipality, shall file a petition
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1 with the clerk of the district court for the district in which the
2 real property is located.

3 E. The petition shall be filed against the real property
4 against which the municipal code lien has been recorded and shall
5 provide all of the following:

6 1. The identity of the municipality and the name and address of
7 the code enforcement director;

8 2. The real property address;

9 3. A description of the real property;

10 4. The tax identification number of the real property;

11 5. The municipal code lien which is being foreclosed;

12 6. The principal amount of the municipal code lien together
13 with applicable interest and penalties;

14 7. The principal amount of any additional municipal code liens
15 together with applicable interest and penalties in accordance with
16 this section, if any;

17 8. The year or years for which the taxes are delinquent, if
18 any;

19 9. The principal amount of the taxes together with interest and
20 penalties, if any;

21 10. A statement that upon final sale in accordance with this
22 act and payment of the amount due for taxes, if applicable, an
23 interested party's rights of redemption shall be extinguished; and
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1 11. The names and addresses of all interested parties to whom
2 copies of the petition are to be sent in accordance with subsection
3 F of this section.

4 F. The municipality shall mail copies of the petition by both
5 certified mail, return receipt requested, and by regular mail to all
6 interested parties whose identities and addresses are reasonably
7 ascertainable. Copies of the petition shall also be mailed by
8 first-class mail to the real property address to the attention of
9 the occupants of the property, if any. In addition, notice shall be
10 physically posted on the real property and shall include the
11 following statement: "THIS PROPERTY IS SUBJECT TO A JUDICIAL IN REM
12 FORECLOSURE ACTION AND MAY BE TRANSFERRED TO [NAME OF MUNICIPALITY]
13 OR ANOTHER PARTY. PERSONS WITH INFORMATION REGARDING THE CURRENT
14 OWNER OF THE PROPERTY ARE REQUESTED TO CONTACT [NAME OF
15 MUNICIPALITY]."

16 G. Within thirty (30) days of the filing of the petition, the
17 municipality shall cause a notice of the filing of the petition to
18 be published once each week for three (3) consecutive weeks in a
19 newspaper of general circulation in the county in which the property
20 is located. Such notice shall specify:

- 21 1. The name and address of the code enforcement director;
- 22 2. The real property address;
- 23 3. A description of the real property;
- 24 4. The tax identification number of the real property;

- 1 5. Any applicable municipal code lien which is being foreclosed
2 upon;
- 3 6. The principal amount of any municipal code lien together
4 with interest and penalties;
- 5 7. The applicable period of tax delinquency, if any;
- 6 8. The principal amount of taxes, if any;
- 7 9. That upon deposit with the appropriate parties by the court
8 of the tax payoff amount, if any, any and all rights of redemption
9 accorded to interested parties are extinguished; and
- 10 10. The date and place of the filing of the petition.

11 SECTION 7. This act shall become effective November 1, 2025.

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